Security *Ireland*
Independent analysis for a changing Ireland.

POLICY FRAMEWORK

Ireland’s Defence
Industrial Architecture

Can Ireland develop a defence industrial base? The surface-level inputs are there: precision manufacturing, deep engineering talent, EU membership. But defence industrialisation is not a factory-siting decision. It is a coordination architecture problem. This paper diagnoses what exists, what’s missing, and what a bounded Irish role within European defence production looks like.

Security Ireland

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KEY FINDING

Ireland has approximately 550 firms active in dual-use technology, a dual-use export market valued at €2.4 billion, world-class capability in AI, cybersecurity, maritime sensing, and precision manufacturing, and EU membership providing access to the European Defence Fund, EDIP, and SAFE. But the argument that Ireland could host European defence production confuses technical capacity with institutional readiness.

Ireland lacks five institutional prerequisites: procurement demand sufficient to anchor an industrial base, a security clearance system for personnel and facilities, an export control framework aligned with international regimes, a defence industrial participation policy, and a political economy willing to sustain long-term military production commitments. The government is rightly moving on two of these — the S&T Act restrictions and interim security clearances.

This paper maps the full architecture gap and defines Ireland’s bounded role: not missiles and tanks, but maritime AI, cyber technology, subsea monitoring, and dual-use sensing — contributed through EU frameworks rather than an independent arms industry.

The question

Europe is rearming at a scale not seen since the Cold War. The ReArm Europe framework targets €800 billion in defence investment by 2030. EDIP allocates €1.5 billion in grants for joint procurement and industrial readiness. The European Defence Fund is funding R&D across cyber, maritime, drone, and AI domains. Irish technology firms are already pivoting to meet demand. Ubotica Technologies uses AI-enabled satellites to track dark vessels in real time. Cathx Ocean's underwater imaging surveys critical seabed infrastructure. Provizio builds Nvidia-powered sensors for obstacle detection. VRAI develops VR simulation for defence training. Green Rebel deploys robot submarines for seabed monitoring. Reamda manufactures bomb disposal robots for the Defence Forces.

The question is not whether Irish firms can contribute to European defence, as they already are, but whether Ireland's institutional system can convert this technical capacity into a structured, sustainable defence industrial contribution — one that connects Irish firms to EU funding instruments, embeds them in European supply chains, and creates the institutional architecture required to sustain participation across electoral cycles.

The coordination architecture diagnosis

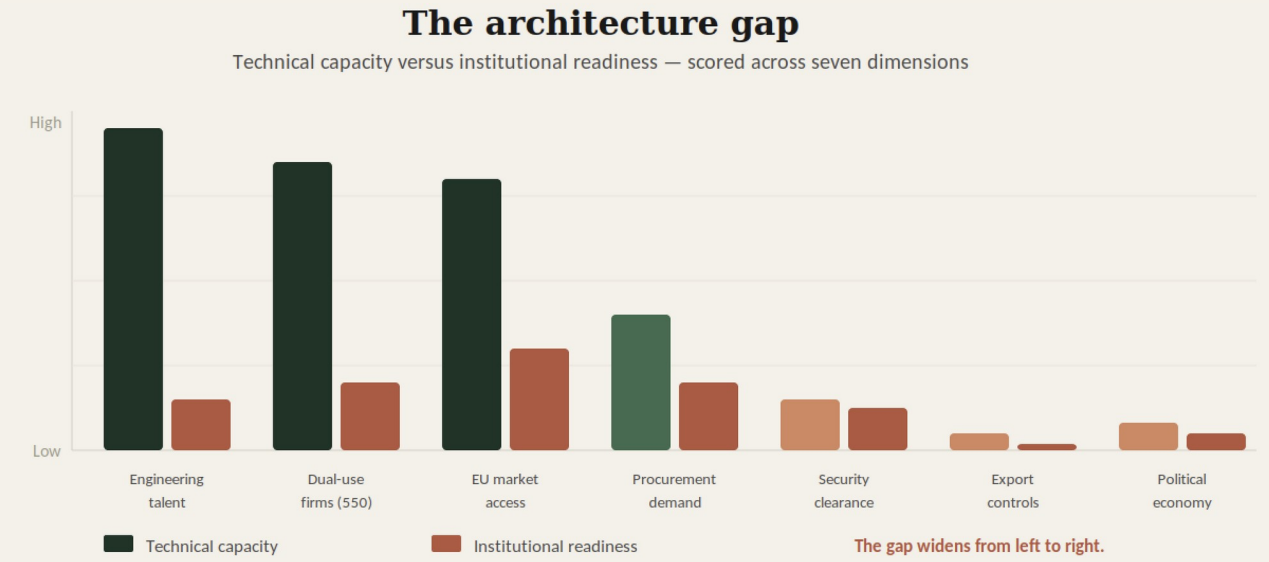

Figure 1: What Ireland has versus what it lacks. The technical capacity exists: ~550 dual-use firms, €2.4 billion export market, world-class talent. The institutional architecture does not: no procurement demand, no export controls, no security clearances, no industrial participation policy, no political economy.

The diagnosis of Ireland's industrial economy follows the frameworks developed in coordination architecture theory. In short, that defence industrialisation requires an aligned ecosystem of procurement demand, export control frameworks, classified information handling, a workforce with security clearances, testing and certification infrastructure, and a political system willing to sustain long-term commitments to military production. Ireland has the engineering capacity. Howver, it lacks everything else. And what it lacks takes years — in some cases decades — to build.

This is not a counsel of despair but a fact and a diagnostic that prevents the government from confusing *technical capacity* with *institutional readiness*. If Ireland approaches defence industrialisation as a factory-siting decision, it will fail. If it approaches it as a coordination architecture problem — that it must build each institutional prerequisite in sequence — it can define a bounded role that is sustainable within Ireland's political and institutional constraints.

The five institutional prerequisites

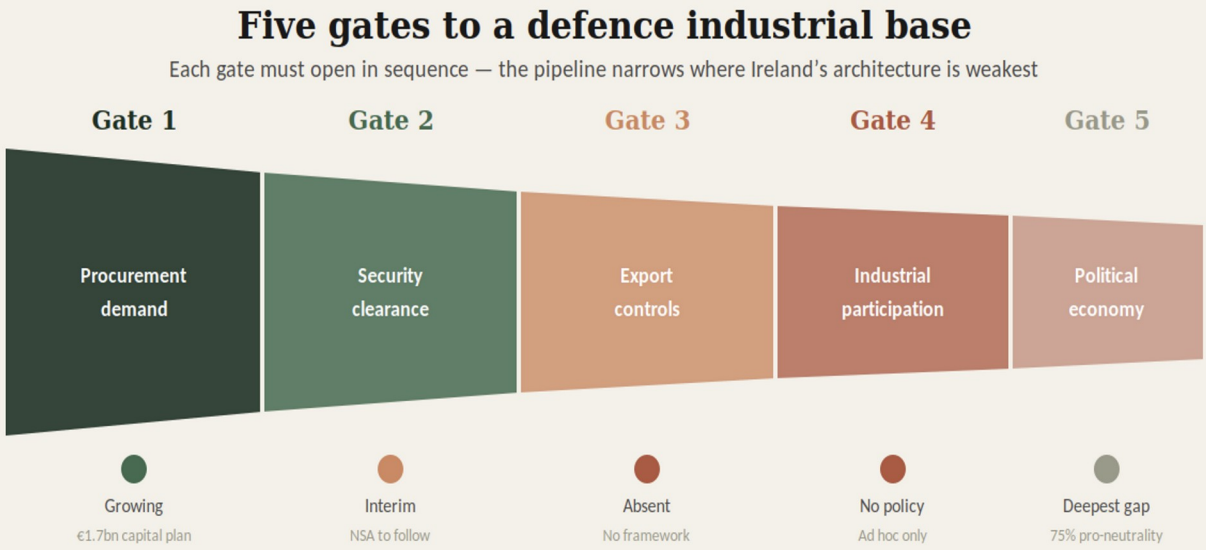

Figure 2: Five institutional prerequisites for a defence industrial base. Ireland must build these in sequence. The government is addressing prerequisites 1–2 (procurement demand and security clearances). Prerequisites 3–5 remain absent.

1. Procurement demand

Defence industrialisation begins with a domestic customer. Every successful defence-industrial state — from the United States to Switzerland to Sweden, and neutral or not — built its base on domestic procurement. Ireland's defence procurement has historically been negligible: a few hundred million euros annually, almost entirely for basic sustainment. However, the capital programme of €1.7 billion over 2026–2030 changes this. The radar programme, counter-drone acquisition, naval fleet renewal, and armoured vehicle procurement create — for the first time — a pipeline of platform acquisitions. The Irish Defence and Security Association estimates Ireland will spend €2.5 billion on defence in the next decade. The procurement demand is emerging.

2. Security clearance system

Defence contracts at EU level require personnel and facility security clearances to handle classified information. Ireland has never had a comprehensive system. The Minister for Justice is introducing an interim security clearance process, with a National Security Agency to follow. This is the right direction. But an interim process is not a system. The permanent architecture must include personnel vetting, facility accreditation, and classified information handling protocols that meet EU standards for EDF, EDIP, and SAFE participation.

3. Export control framework

Defence exports require end-user certificates, re-export controls, classified technology handling, and alignment with international regimes including the Wassenaar Arrangement. Ireland has no export control infrastructure because it has had nothing to export. Building one takes years of institutional development with sustained political commitment. Switzerland's experience is instructive: a country with two centuries of defence manufacturing blocked re-export of Swiss-made ammunition to Ukraine in 2022, infuriating NATO allies. If Switzerland struggles with the political economy of arms exports, Ireland should not pretend these dilemmas will be simple.

4. Defence industrial participation policy

Ireland has not developed a comprehensive defence industrial participation policy. When the state procures major platforms from international primes — ships, radar, armoured vehicles — there is no systematic requirement for those primes to partner with Irish SMEs, provide offsets, or integrate Irish firms into their supply chains. This means Irish taxpayer money flows to international manufacturers with no guaranteed return to the Irish economy. A participation policy would require international primes to partner with Irish firms on procurement contracts, creating the supply chain connections that sustain a domestic industrial base.

5. The political economy

This is the deepest gap. Defence production requires sustained government commitment across electoral cycles, community acceptance of manufacturing facilities, and a workforce willing to build weapons — offensive or defensive — in a society where military

capability carries cultural stigma. Seventy-five per cent of the Irish public supports neutrality. The President has described the military as something Ireland 'will never be able to have.' The political foundations for full-spectrum defence manufacturing do not exist. They do not need to. Ireland's bounded role does not require political acceptance of arms manufacturing. It requires acceptance of dual-use technology contribution to European security — a significantly lower political bar.

Ireland's bounded role

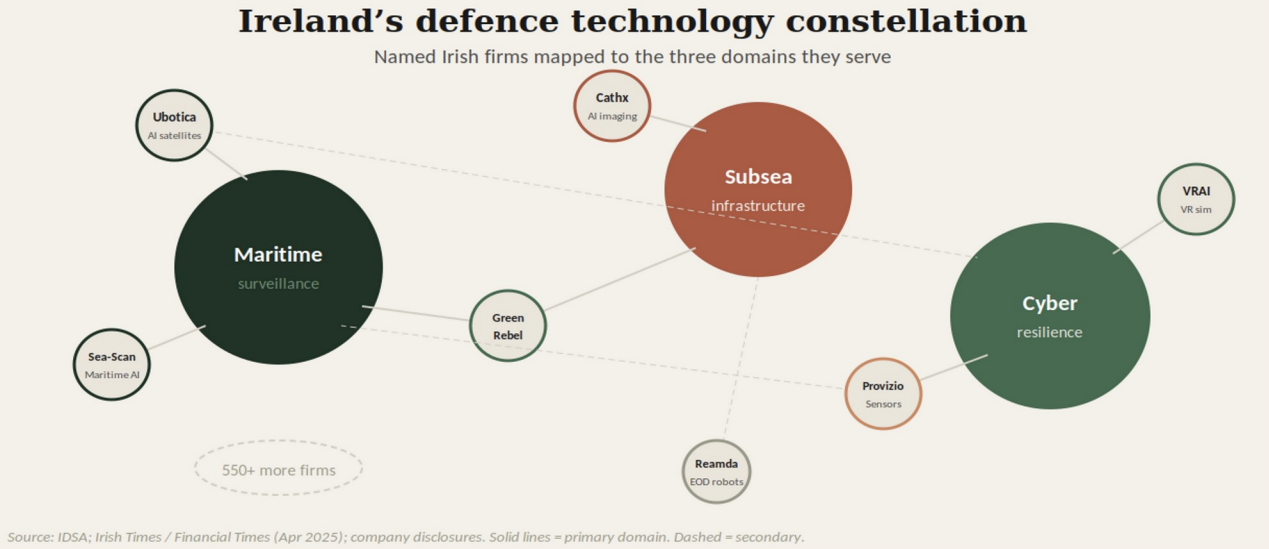

Figure 3: Ireland's bounded role in European defence production. Not missiles and tanks, but maritime AI, cyber technology, subsea monitoring, and dual-use sensing. Named Irish firms already operating in the space: Ubotica, Cathx Ocean, Provizio, VRAI, Green Rebel, Reamda, Sea-Scan, and over 550 dual-use firms.

The bounded role is defined by two constraints: what Ireland's technical capacity can deliver, and what Ireland's political economy can sustain. Ireland will not manufacture fighter jets, tanks, ammunition, or strategic weapons platforms. It does not need to. Ireland can develop and supply maritime AI and surveillance technology, cybersecurity tools and platforms, subsea monitoring and sensing systems, and dual-use AI, drone technology, and data analytics. These capabilities align precisely with the three domains identified in the Presidency series: maritime surveillance, subsea infrastructure protection, and cyber resilience.

The distinction is between an arms industry and a defence technology contribution. Ireland is not building an arms industry. It is building the institutional architecture to contribute technology to European defence in the domains where its technical capacity and geographic position are irreplaceable. The government's language should reflect this distinction: defence technology contribution, not defence manufacturing.

The EU funding pathway

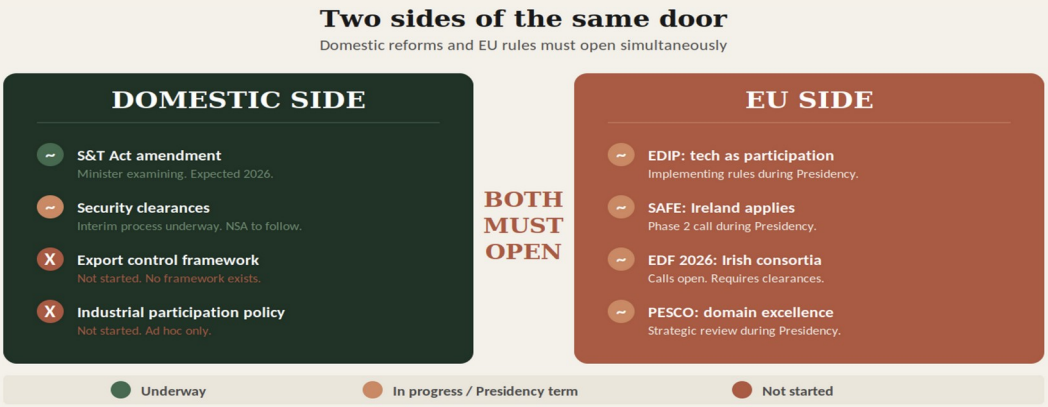

Figure 4: Three EU funding instruments accessible to Irish firms if the rules recognise technology contribution. The European Defence Fund funds R&D. EDIP funds joint procurement and industrial readiness. SAFE provides €150 billion in preferential loans. The domestic reforms open the door from Ireland's side; the Presidency actions open it from the EU side.

Three EU instruments provide the funding pathway for Irish defence technology firms. The European Defence Fund's 2026 work programme includes calls directly relevant to Ireland's strengths: quantum-secured tactical networks, layered critical seabed infrastructure protection, AI for command and control, and drone swarm technologies. Irish firms can apply now through consortia with EU partners. EDIP's €1.5 billion in grants fund joint procurement and industrial readiness. The implementing rules being drafted now determine whether technology contribution counts as 'participation' — this is the critical question the Presidency Desk briefs address. SAFE's €150 billion in loans fund procurement at preferential terms. Ireland has not yet applied.

The domestic reforms — amending the Science and Technology Act, establishing security clearances — open the door from Ireland's side. The Presidency actions — ensuring EDIP rules recognise technology contribution, applying for SAFE loans — open the door from the EU side. Both must open. This is the 'two sides of the same door' framing that runs through the entire Presidency Desk series.

The Swiss comparison

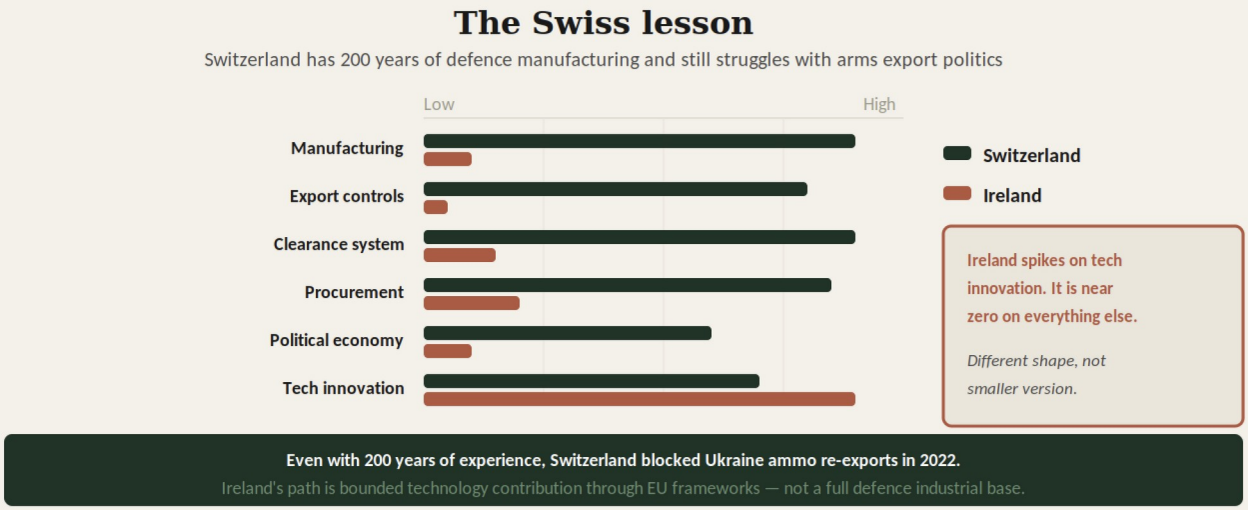

Figure 5: Switzerland versus Ireland. Switzerland is neutral, has two centuries of defence manufacturing, and still struggles with the political economy of arms exports. Ireland's path is not to replicate Switzerland but to define a bounded role: dual-use technology contribution within EU frameworks.

Switzerland provides the instructive comparison. It is neutral, has a mature defence industrial base built over two centuries, and participates in PESCO as a non-EU, non-NATO state. Yet in 2022, Switzerland blocked re-export of Swiss-made ammunition to Ukraine, creating a diplomatic crisis that demonstrated how contested the political economy of arms production remains even in a country with deep institutional foundations.

Ireland cannot replicate Switzerland's path: it does not have two centuries of industrial policy; It does not have

mandatory military service or a civic culture that treats military readiness as an obligation. What it has is a world-class technology sector, EU membership, and six months chairing the Council where the rules are being written. Ireland's path is to define a bounded role — dual-use technology contribution within EU frameworks — and build the institutional architecture to sustain it. Not an arms industry, but a defence technology contribution that the EU's funding instruments recognise and reward.

What Ireland should do

Figure 6: The institutional roadmap. Five actions to build a bounded defence industrial architecture. The first two are underway. The remaining three require new institutional development.

1. Amend the Science and Technology Act 1987

Remove the restrictions on Enterprise Ireland's engagement with dual-use technologies of 'primarily military relevance.' The Minister for Enterprise is examining this. IBEC and the IIEA have both called for amendment. This is the simplest prerequisite and should be completed before the Presidency begins.

2. Establish a permanent security clearance system

Move beyond the interim process to a National Security Agency with personnel and facility vetting that meets EU standards. This is essential for Irish firms' participation in EDF, EDIP, and SAFE programmes. The Minister for Justice has committed to this. Timeline matters: the EDF 2026 calls are open now.

3. Develop a defence industrial participation policy

Require international primes winning Irish procurement contracts to partner with Irish SMEs, provide workshare, and integrate Irish firms into their supply chains. Ireland will spend €2.5 billion on defence in the next decade. Without a participation policy, that money flows out with no structured return to the Irish economy.

4. Build export control infrastructure

Align with the Wassenaar Arrangement. Develop end-user certificate systems and classified technology handling protocols. This is a multi-year institutional build, but it must begin now if Irish firms are to participate in EU defence supply chains that cross borders.

5. Ensure EU rules recognise technology contribution

This is the Presidency-side complement. EDIP implementing rules must include cyber, AI, maritime sensing, and dual-use technology as eligible participation. The MFF defence chapter must name these domains. This recommendation connects directly to the Presidency Desk series: Brief 1 (ReArm, Recommendation 2) and Brief 4 (Hybrid, Recommendation 3).

> **THIS LOCKS IN:** *A permanent institutional pathway for Irish technology firms to participate in EU defence programmes. Not an arms industry, but a structured, funded, sustained technology contribution to European security in Ireland's three domains.*

THE BOTTOM LINE

Ireland has the technical capacity to contribute to European defence production, but it does not have the institutional architecture. The government is rightly removing domestic barriers — the S&T Act restrictions, the security clearance gap. But three prerequisites remain absent: export control infrastructure, an industrial participation policy, and the political economy to sustain long-term commitment. The bounded role — dual-use technology contribution within EU frameworks, not an arms industry — is achievable. It requires building five institutional prerequisites in sequence, connecting Irish firms to EU funding instruments, and ensuring the rules being written during the Presidency recognise what Ireland offers. The Presidency is the window for the EU-side rules, and the domestic architecture must be built in parallel.

A NOTE ON METHOD

This paper applies the coordination architecture framework to Ireland's defence industrial position. It diagnoses the gap between technical capacity and institutional readiness, maps the five institutional prerequisites, and defines a bounded role that is sustainable within Ireland's political and institutional constraints. It does not advocate for or against an Irish arms industry. It analyses what would be required, what exists, what is missing, and what bounded contribution is achievable.

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